rule that wherever there is an ATS, testing will be through it only. Earlier, this was voluntary. This will encourage the private players."

When it launched the policy in 2021, the government had envisaged that 75 ATSes would come up across India soon enough, with a few in every state in the first phase. Eventually, it wanted to have at least one ATS in every district. Parallelly, to complete the loop, private players, too, would set up scrapping centres. But, nearly three years later, the number of ATSes is only 37, and in just eight states, and there are just 44 authorised scrapping centres spread across states. Ideally, anyone with a certain net worth can approach the government to open an ATS as a commercial venture; as also for a scrapping facility. But not enough people are turning up to open an ATS. And you cannot scrap a vehicle—be it commercial or personal—if you cannot test its "roadworthiness" (see *FAQ*).

States in Slow Motion

The states that have been slow to adopt the programme are trying to figure out a way forward. "We are taking time because we are yet to zero in on a model of setting up an ATS that would work," says Navdeep Singh Virk, transport secretary, Haryana. "There is no uniform model that has succeeded in all states."

Haryana has initiated talks with automakers. Its earlier plan of setting up the testing stations in districts did not work out. "We need at least one for each of the 22 districts, while bigger districts like Gurugram and Faridabad would need more than one," says Virk. Tamil Nadu, on the other hand, is assessing the feasibility of setting up the stations. "We are still studying the techno-economic feasibility of the ATSes," says K. Phanindra Reddy, additional chief secretary, TN.

It's not even as though Opposition-ruled states are ignoring a central scheme. While several states have announced concessions on road taxes against the Certificate of Deposit (scrappage), very few—Uttarakhand, Delhi, Bihar, Jharkhand, Rajasthan, Chhattisgarh (both formerly Congress-ruled), Gujarat and Uttar Pradesh—have moved fast on the ground as far as ATSes are concerned. Even then, with Gujarat alone having 25 of the 37 ATSes, the spread is far from even. UP has only one in Lucknow, run by the transport department. "We have over 308 applications for ATSes, which we are vetting at the moment," says Daya Shankar Singh, transport minister of UP. "We will then give permissions on a first-come-first-serve basis. In the first phase, 60 districts will have at least one ATS," he says. UP has plans to set up 150 such centres in its 75 districts.



"Forty per cent of the country's CO_2 emissions come from the transport sector. And it is growing every day. It is worrying"

NITIN GADKARI
Union Minister for Road Transport and Highways

Owners' Ennui

What explains the low propensity of vehicle owners opting for scrappage? Rohan Rao, partner, deal advisory, M&A consulting, at KPMG India, attributes it to the lack of clarity on ELV regulations, the scrappage process, pricing methodology as well as the location and accessibility of scrappage centres. "The owners are also unclear about the cost-versus-benefit of scrapping instead of incurring an additional expenditure to refurbish them," he says.

Owners also don't really want to let go of their old vehicles unless they need to. "I use my old car to go to the market in the city once, maybe twice a week. Why should I scrap it?" asks 50-year-old Haji Munna Khan of Alwar, Rajasthan. A trader and a former truck driver, Khan bought a 14-year-old hatchback from his relative last year. "It has run less than 100,000 kilometres. It is in perfect condition. Now, do I have to buy a new car next year?" he asks.

Such sentiments aside, the auto industry says the reason the policy has yet to gain momentum lies in the policy itself. To ward off any "conflict of interest", it mandates that those running the ATSes must not have any link with automobile manufacturers. The justification is that these companies and their dealers stand to gain if more and more old cars fail the fitness test. Every car that fails the test also opens up the possibility of a new car sale, theoretically. The auto industry thinks the government should leverage their existing servicing network and authorise them to instal ATSes. They have cited countries like the US, UK, Canada and Japan, which

CARROT AND STICK

Incentives

- Value of the old vehicle offered by the scrapping centre is 4-6 per cent of the ex-showroom price of a new vehicle
- Registration fees of new vehicles to be waived against the Certificate of Deposit
- Motor vehicle tax waiver up to 15 per cent for commercial vehicles and up to 25 per cent for private vehicles
- Automobile manufacturers have been advised to provide 5 per cent discount on purchase of new vehicles against the Certificate of Deposit

Disincentives

- Higher fees for fitness test, issuance of fitness certificate and re-registration for private as well as commercial vehicles older than 15 years